



Spain



Funds: It is possible to conduct cross-border active marketing/selling of AIFs or UCITS where:

- the firm is appropriately authorised/licensed; and
- the appropriate filing has been submitted to market/pre-market the fund.

Investment Management & Advisory Services (IMAS): It is only possible to conduct cross-border active marketing/provision of IMAS (arranging, execution of orders on behalf of clients, investment advice and portfolio management) where the firm has the appropriate authorisation/licence. In certain cases, this may be obtained on a cross-border basis.

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Key points in terms of the position in Spain are:

-  **Reverse Enquiry:** Responding to a reverse enquiry may be possible without triggering the above requirements where certain conditions are satisfied.
-  **PPR:** Marketing/selling an AIF via A36/A42 PPR is challenging, principally due to combination of goldplating measures. Technically, there is also a route through which an AIF can be approved for marketing/sale to Retail Investors, although the associated conditions are also challenging to satisfy.
-  **Local agents/representative:** Whether the activity relates to an AIF or a UCITS, the requirement for a representative/local agent needs to be assessed. Some functions can be provided by a non-Spanish entity, but in other cases a local agent is required.
-  **There is a third country cross-border firm authorisation route:** A route is available enabling third country firms to obtain a local licence either through a branch or, provided certain conditions are met, on a cross-border basis. Among the conditions that apply to the licence being granted on a cross-border basis are requirements relating to investor type and scale of activity being conducted in Spain.

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Speedread: Any general marketing activities will need to be carefully considered on a case-by-case basis. This is a grey area for regulation in Spain, although activities of a very general nature would likely be acceptable. There is an elevated risk of triggering restrictions where publishing articles or conducting product/service line awareness or activities referring to an investment strategy or particular characteristics.



The following activities are likely permitted without triggering fund notification and/or firm licensing requirements provided they do not promote specific funds or IMAS of the firm:

- brand awareness;
- providing general information about the firm;
- attending and speaking at a finance-related event which is not designed to raise market awareness of funds or IMAS provided by the firm;
- publishing articles, interviews or macroeconomic analysis/market outlook papers with technical or informative purpose; and
- distribution of business cards.

Carrying out/handing over generic marketing/branding materials fall within a grey area in Spain. Therefore, any general marketing activities will need to be carefully considered on a case-by-case basis. Activities of a very general nature relating to logo/brand (e.g. handing out a pen with the firm's name on it) and purely social interactions with prospective investors may be acceptable. Presentations and seminars may not trigger restrictions where they are not designed to raise awareness of specific funds/services offered by the firm.

Care is required when distributing business cards (whether hard-copy or electronic with offshore contact details) as this could be interpreted as active solicitation and therefore rule out being able to later rely on a reverse enquiry. Counsel note this is a grey area and advise a conservative approach.



The following activities are likely to trigger restrictions, unless, in respect of funds, the activity falls within scope of permitted pre-marketing:

- publishing articles, interviews or papers or delivering materials that promote funds or IMAS of the firm; and
- activities referring to investment strategy or particular characteristics.

Passive Marketing/Selling (Reverse Enquiry)



Speedread: It may be possible to respond to a reverse enquiry without triggering notification/approval requirements at a *fund level* (i.e. in respect of the relevant UCITS or AIF) as well as the licensing requirements that apply at a *firm level* provided certain conditions are met.

Further, the CBDF Directive contains an 18-month restriction on relying on a reverse enquiry, where the reverse enquiry relates to the units/shares of an AIF that was pre-marketed or that was established as a result of pre-marketing. Local counsel understand that the restriction applies to all Professional Investors in Spain who make a subscription within 18 months after an AIFM has started pre-marketing in Spain irrespective of whether such investors were the actual recipients of the pre-marketing. However, the CNMV has not issued any communication or guidance in this regard and therefore local counsel's interpretation might be modified in the future.



AIFs and UCITS that have not been passported into Spain: Limited

It is necessary to consider whether the Conditions for Permitted Reverse Enquiry apply.

Firms should also be aware of the 18-month restriction on responding to a reverse enquiry with respect to AIFs that have been pre-marketed in Spain.

Passported AIFs and UCITS: Permitted

The activity should be permitted as the fund has been passported into Spain although in respect of the Licensing Requirement it will be necessary to consider whether the firm has the required permissions or the Conditions for Permitted Reverse Enquiry have been satisfied.

IMAS: Limited

It is necessary to consider whether the Conditions for Permitted Reverse Enquiry apply.

Conditions for Permitted Reverse Enquiry: The following conditions should be analysed on a case-by-case basis:

- the contact with the firm must be initiated solely by the investor;
- the firm must have no physical presence in Spain; and
- the firm must not:
 - engage in any activity to solicit new business from an existing or new investor in Spain;
 - carry out any marketing or advertising activity in Spain; or
 - provide any investment product or service in Spain.

The firm must be as passive as possible. Once an unsolicited request has been received and a relationship established, any subsequent acts or activities arising from such specific client relationship for such specific funds or IMAS would also be considered unsolicited if the firm strictly sticks to the scope of the request. In such case the Licensing Requirement shall not be triggered. This does not, however, apply to activities outside the initial unsolicited relationship i.e. offering new funds or IMAS. Frequent reliance on this reverse enquiry route would look suspicious to the CNMV. Counsel recommends record-keeping. While it may be possible to use certain template language to confirm that the investor initiated the approach, please note that frequent reliance on the reverse enquiry route (i.e., among a sizeable number of investors) would look suspicious to the CNMV and that having templates could be evidence that the reverse enquiry is frequently used.

Pre-Marketing and Active Marketing/Selling of Funds



Firms will need to consider both fund and firm level requirements.

1. Fund Level Requirements

The requirements will depend on whether the fund is a UCITS or an AIF and whether marketing/selling via a marketing passport or the national private placement regime (**PPR**).

A. UCITS

Speedread: To actively market/sell a UCITS using the marketing passport route, it is necessary to make the relevant notification to the home Member State regulator and to comply with all associated requirements. It is not possible to pre-market a UCITS or to market/sell a UCITS that has not been passported to investors in Spain.

In addition, the firm will need to be appropriately licensed to market/sell the UCITS. See the *Licensing Requirement* below.

Pre-Marketing UCITS before UCITS marketing passport notification: Not permitted

For UCITS, pre-marketing is likely not permitted prior to the passporting notification being made.

Active marketing/selling via UCITS marketing passport: Permitted although care required to comply with Spanish-specific requirements (including requirement for representative/local agent)

Permitted to Professional Investors and Retail Investors in Spain subject to notification to the home Member State regulator and preparation of the necessary documents including the KID. See section 6.1(c) of the Memorandum for Spanish-specific requirements, including in relation to applicable timeframes and fees.

In addition to the above, a passported UCITS must appoint a person to:

- act as its representative (this could be the UCITS itself, its ManCo, or the marketing entity/legal person it designates);
- act as its agent to submit tax information (applicable to self-managed UCITS only); and
- act as its agent to make payment of fees.

Some functions can be provided by a non-Spanish entity but in other cases a local agent is required. See *Additional Considerations – Representative/Local Agent* below for more details.

For firm level requirements, see the *Licensing Requirement* below.

Active marketing/selling a UCITS that has not been passported into Spain: Not permitted

Non-passported UCITS cannot be actively marketed/sold into Spain. To actively market/sell a UCITS to investors in Spain, it is necessary to complete the UCITS notification process.

B. AIFMD Marketing Passport

Speedread: To actively market/sell an AIF using the marketing passport route, it is necessary to make the relevant notification to the home Member State regulator and to comply with all associated requirements. Pre-marketing is likely permitted but care is required to ensure activities stay within the scope of permitted pre-marketing and that the informal letter is submitted.

In addition, the firm will need to be appropriately licensed to market/sell the AIF. See the *Licensing Requirement* below.

Pre-Marketing AIF before AIFMD marketing passport notification: Likely permitted

The Spanish implementation of the CBDF Directive does not specifically address pre-marketing by non-Spanish AIFMs. However, local counsel's understanding is that pre-marketing activity in Spain by an EEA AIFM of its EEA AIF should be governed by the law of that AIFM's home Member State.

Care is required to structure activities within the scope of permitted pre-marketing. See the onscreen report for details of the types of documents which can be used to conduct pre-marketing, whether they can be in draft or final form and any required disclaimers. Within two weeks of any pre-marketing being conducted, an informal letter must be sent by the EEA AIFM to its home Member State regulator.

Restrictions also apply to the firm conducting the pre-marketing – third parties must generally fall within the categories of EU-regulated firms prescribed by the CBDF Directive.

Active marketing/selling via AIFMD marketing passport: Permitted although care required to comply with Spanish-specific requirements (including requirement for representative/local agent)

EEA AIFs with EEA AIFMs may be actively marketed/sold to Professional Investors subject to notification to the home Member State regulator of the AIFM. See section 4.2 of the Memorandum for Spanish-specific requirements which apply in order to market a passported AIF into Spain, including in relation to applicable timeframes and fees. Full compliance with the AIFMD is required. In addition, certain additional requirements must be addressed as follows:

- **Representative/Local Agent:** It is necessary to appoint a representative to act on behalf of the AIF vis-à-vis the CNMV. When providing services without a branch, the EEA AIFM shall also appoint a Spanish local agent for tax purposes. The roles of representative and local agent may be assumed by the same entity provided the relevant requirements are met. See *Additional Considerations – Representative/Local Agent* below for more details.
- **Annual Reports:** The CNMV may request reports for 5 years after the registration of the foreign AIF in Spain.
- **Disclosure Requirements:** Shareholders and participants should be provided with details of:
 - how payments are made;
 - the acquisition of shares or the reimbursement of units by funds (e.g. treasury stock or reimbursement against capital);
 - the information that shareholders and participants shall be provided with in Spain; and
 - in general, the exercise of their rights.

For firm level requirements, see the *Licensing Requirement* below.

C. PPR

Speedread: Where either the AIF or the AIFM is based outside the EEA, the AIFMD marketing passport is not available. Marketing/selling to Professional Investors is technically possible under the private placement regime (via either A36 or A42 as implemented in Spain) subject to compliance with the relevant requirements and following authorisation/registration with the CNMV. In practice, due to combination of goldplating measures it may be challenging to access the PPR regime in Spain. Pre-marketing prior to registration/authorisation to use the PPR may be permitted depending on the circumstances.

There are also routes to market/sell an AIF to Retail Investors, although the associated conditions can be difficult to satisfy.

In addition, the firm will need to be appropriately licensed to market/sell the AIF. See the *Licensing Requirement* below.



Pre-Marketing AIF before notification to use PPR: May be permitted

The position that applies depends on whether the scenario involves AIFs that will then be offered via A36 or A42 PPR:

- For EEA AIFMs with non-EEA AIFs (that will use Article 36) the position is not clear. However, local counsel's understanding is that pre-marketing activities in Spain by an EEA AIFM from another Member State should be governed by the law of the AIFM's home Member State. Care is required to ensure activities stay within the scope of permitted pre-marketing and to check the home member state's requirements regarding the informal letter.
- For Non-EEA AIFMs (that will use Article 42), there is a two-step process:
 - (1) authorisation of the Non-EEA AIFM; and
 - (2) registration of the AIF.

The CBDF Pre-Marketing regime has been extended and is available to non-EEA AIFMs authorised in Spain (i.e. who have completed the first step) who can pre-market the AIF prior to completing the second step of registering the AIF to use the PPR. See section 4.4(c)(ii) for information on the informal letter requirement.

 **Active marketing/selling via PPR:** Permitted following authorisation and registration with the CNMV although may be challenging in practice due to a combination of goldplating measures

Permitted to Professional Investors subject to the requirement for the AIFM and AIF to be authorised and registered with the CNMV and provided the relevant requirements deriving from the AIFMD are complied with as well as the Spanish-specific PPR Goldplating Requirements. See section 6.2(c) of the Memorandum for more information on the authorisation/registration process (the procedure is similar to the one applicable to the marketing of AIFs to the public but without those requirements which are retail-related), section 4.1(a) for the types of documents/evidence that needs to be submitted as part of the application and section 7.1(b) for information on applicable timeframes/fees.

For firm level requirements applicable to the firm marketing/selling the fund via the PPR, see the *Licensing Requirement* below.

PPR Goldplating Requirements: The following requirements apply whether using the A36 or A42 PPR:

- **Representative/Local Agent:** It is necessary to appoint a representative to act on behalf of the AIF vis-à-vis the CNMV. When providing services without a branch (without permanent establishment) the AIFM shall also appoint a Spanish local agent for tax purposes. These roles may be assumed by the same entity provided that the relevant requirements are all met. See *Additional Considerations – Representative/Local Agent* below for more details.
- **No marketing to Retail Investors:** Appropriate measures must have been taken to prevent distribution to Retail Investors.
- **Disclosure Requirements:** Shareholders and participants should be provided with details of:
 - how payments are made;
 - the acquisition of shares or the reimbursement of units by funds (e.g. treasury stock or reimbursement against capital);
 - the information that shareholders and participants shall be provided with in Spain; and
 - in general, the exercise of their rights.
- **Various Equivalence Requirements:** Authorisation for marketing may be refused for:
 - prudential reasons;
 - the fund not having an equivalent treatment in its country of incorporation to that of Spain;
 - non-compliance with the disciplinary regulations of the Spanish securities markets;
 - not guaranteeing the due protection of Spanish investors; and
 - differences in the competency conditions of the fund and those funds authorised in Spain.
- **Open-Ended Fund Requirements:** It is also necessary to demonstrate (usually via a legal opinion) that an open-ended fund is of a category that is regulated in Spain and is subject to regulation in its home state protecting interests of shareholders/unitholders similar to Spanish law on this matter.

Article 36-specific requirements:

- **Tax Agreement:** The third country where the Non-EEA AIF is incorporated shall have signed an appropriate agreement with Spain which complies with certain standards and ensures an effective exchange of information in tax matters including any multilateral tax agreements.
- **Accreditation Certificate:** The AIFM must provide an accreditation certificate issued by its competent authorities confirming that the AIFM is authorised under the AIFMD to manage AIFs with a particular investment strategy.

Article 42-specific requirement:

For open-ended funds only, in addition to providing the legal opinion referred to above, it is also necessary to prove that there is a favourable report from the home regulator of the AIF (or the AIFM acting on its behalf) with regards to the activities of the AIF.

 **Active marketing/selling to Retail Investors:** Permitted following authorisation and registration with the CNMV although in practice it may be tricky to fulfil all the associated requirements

An AIF may be actively marketed/sold to Retail Investors following registration and authorisation of the AIFM and AIF with the CNMV. See the *PPR* section above for further details on the various goldplating requirements that apply.

Certain additional obligations apply, including proving certain matters before the CNMV and complying with filing requirements. In addition, for closed-ended funds, minimum subscription amounts apply. See section 6.2(c) of the Memorandum for further details. It is also necessary to comply with PRIIPs requirements for a KID when marketing an AIF to Retail Investors.

For firm level requirements, see the *Licensing Requirement* below.

2. Firm Level Requirements

D. Licensing Requirement

Speedread: The firm will need to obtain a local licence, be an EEA Passporting Entity or appoint a local intermediary to market/sell the fund, unless it is possible to satisfy the conditions associated with the Authorised Non-EU Entity route (which may allow a third country firm to obtain a licence on a cross-border basis).

For pre-marketing of an AIF, this requires the firm to fall within the categories of EU-regulated firms prescribed by the CBDF Directive.

 **EEA Passporting Entity:** Permitted

 **Other Firm:** Licence required but may be possible to obtain on a cross-border basis

See section 10 of the Memorandum for the requirements that apply in order to obtain a Spanish MiFID II Licence (which includes establishment of a local presence). However, a separate route is also available enabling third country firms to obtain a local licence as an Authorised Non-EU Entity.

Authorised Non-EU Entity: This is an entity that is authorised in Spain by means of a local licence (which is not a full MiFID II licence as it only allows such entity to provide services in Spain). This route enables a non-EU firm to be authorised either through: (i) a branch; or (ii) provided that certain conditions are met, on a cross-border basis in Spain (without the establishment of a branch).

The conditions for acting *without* the establishment of a branch are that:

- there must be reciprocity in the third-country firm's country of origin, allowing Spanish credit institutions and investment firms to provide investment services under similar conditions; and
- provision of investment services must be to:
 - eligible counterparties; or
 - per se professional clients (provided that the services are provided to fewer than 20 per se professional clients or the income from the provision of these services to per se professional clients is under EUR2 million).

The CNMV may also grant permission for a third country firm to provide investment services on a cross-border basis where deemed appropriate in exceptional circumstances.

In any event, a third-country firm providing investment services in Spain on a cross-border basis will be required to obtain prior authorisation from the CNMV and will be subject to the supervision of the CNMV. For the requirements applicable to third country firms providing investment services in Spain, please refer to section 7.3(a)(i) of the Memorandum.

For the position on intermediaries, see *Additional Considerations* below.

Active Marketing/Provision of IMAS



Speedread: The firm will need to be appropriately licensed to market/provide IMAS and will need to obtain a local licence or, where the relevant conditions are met, a cross-border licence, unless they are an EEA Passporting Entity or appoint a local intermediary.

 **EEA Passporting Entity:** Permitted

 **Other Firm:** Licence/authorisation required but may be possible to obtain on a cross-border basis

Marketing/provision of IMAS to Professional Investors and Retail Investors is caught by the Licensing Requirement and the firm will need to:

- hold a Spanish MiFID II licence; or
- be authorised by the CNMV as an Authorised Non-EU Entity. In certain circumstances this route may allow a firm to obtain a licence to provide services to per se professional clients and eligible counterparties on a cross-border basis.

For the position on intermediaries, see *Additional Considerations* below.

The analysis in this section is also applicable to the marketing/provision of IMAS in relation to a single investor vehicle, a segregated managed account or a family office undertaking. Marketing/selling of these vehicles will not be caught by the AIFMD if they are structured to fall outside the definition of AIF. For family office undertakings, the legislation is not as clear on what is required in order to avoid the structure constituting an AIF and therefore advice should be sought on a case-by-case basis.

Additional Considerations



Intermediaries

It may be possible for a firm to address the Licensing Requirement by appointing an appropriately licensed local intermediary. When marketing/selling a fund, it is, however, separately necessary to consider the requirements for a local representative/local agent as discussed below.

Representative/Local Agent

The requirements that apply to the representative/local agent derive from Circular 2/2011 and Circular 2/2017. Translations of these documents are available on aosphere and their contents are also further discussed in the Memorandum (see sections 4.2(f) and 6.1(c)(iv)). One of the functions of the representative is to act as a liaison with the CNMV and obtain access to the CIFRADO/CNMV service for the submission of the relevant information.

As noted elsewhere in this summary, the application of the representative/local agent requirements depends on whether the fund is a UCITS or an AIF. Certain functions can be provided by a non-Spanish entity, but other functions require a Spanish entity. These roles may be assumed by the same entity provided that the relevant requirements are all met.

Fly-in meetings

Consideration should be given to whether the frequency of fly-in meetings trigger local licensing restrictions. See section 8.3(b) of the Memorandum. Fly-in meetings and roadshows are permitted where the firm is acting in compliance with the licensing/other requirements set out above.

Prospectus Regulation (PR3)

PR3 applies to interests in a closed-ended fund that constitute "transferable securities". An approved prospectus is required unless an exemption applies. See section 9 of the Memorandum for applicable exemptions.

Form and content requirements including disclaimers

See sections 8.1(b) and 8.1(c) and the Appendices of the Memorandum for form and content requirements and disclaimers. In particular, the CBDF Regulation introduced certain requirements for marketing communications made by fund managers of UCITS and AIFs, regardless of the targeted investor. Spain also has an additional sets of rules which need to be considered in terms of the form and content of marketing materials. These include the principles and requirements of CNMV Circular 2/2020 and certain accessibility requirements which are set out in section 8.1(c) of the Memorandum. Firms will also need to consider the principles that apply under the Publicity Law, such as in relation to advertising and unfair communications requirements.

See also the Document Checklist on the aosphere report for a summary of these requirements – the checklist considers specific fact patterns and the key considerations that apply when preparing marketing documents.

Definitions



EEA Passporting Entity

A MiFID Investment Firm, CRD Credit Institution, UCITS ManCo or EEA AIFM authorised in another EEA Member State with appropriately scoped permissions and which has exercised its right to passport into the jurisdiction on the basis of its home Member State authorisation.

Professional Investors

Means a "professional client" as defined in Annex II of MiFID II. Includes:

- investment firms, credit institutions, insurance companies and other institutional investors that are authorised or regulated;
- large undertakings meeting two of the following criteria: (i) Balance sheet total: EUR 20 million; (ii) Net turnover: EUR 40 million; or (iii) own funds: EUR 2 million; and

- national and regional governments, public bodies that manage debt, central banks, and international and supranational institutions.

Please refer to section 4.1 of the European Framework Document for a fuller description of the types of investor who may fall within this definition.

Retail Investors

Clients who invest as retail clients (that is, excluding Professional Investors and eligible counterparties as defined in Annex II to MiFID II).